Federalism

The big idea

Power-sharing between different levels of government is the heart of **federalism**. India has a central government, state governments and local governments, each with its own powers given by the **Constitution**. This chapter explains what makes a country federal, how India practises federalism, and how the **1992 amendment** created a third tier of local government.

FEDERALISM

A system of government in which the power is **divided between a central authority and various constituent units** of the country. Usually there are two levels: one for the entire country (common national interest) and another at the level of provinces or states (day-to-day administering). Both levels enjoy their power **independent of the other**. In a **unitary** system, there is either only one level of government, or sub-units are subordinate to the central government (e.g., Sri Lanka).

Key features of federalism

1. There are **two or more levels (tiers)** of government.
2. Different tiers govern the **same citizens**, but each tier has its own **jurisdiction** in specific matters of legislation, taxation and administration.
3. The jurisdictions are specified in the **Constitution**, so the existence and authority of each tier is **constitutionally guaranteed**.
4. Fundamental provisions of the Constitution **cannot be unilaterally changed** by one level of government; changes require the consent of both levels.

5. **Courts** have the power to interpret the Constitution and the powers of different levels; the highest court acts as an **umpire** if disputes arise.
6. **Sources of revenue** for each level are clearly specified to ensure its financial autonomy.
7. Dual objectives: to **safeguard and promote unity** of the country, while **accommodating regional diversity**. Mutual trust and agreement to live together are essential.

TWO ROUTES TO FEDERATION

- **Coming together federations**: independent states come together on their own to form a bigger unit, pooling sovereignty and retaining identity. All constituent states usually have **equal power** and are strong vis-à-vis the federal government. Examples: **USA, Switzerland, Australia**.
- **Holding together federations**: a large country decides to divide its power between constituent states and the national government. The central government tends to be **more powerful**; constituent units may have **unequal powers** (some get special powers). Examples: **India, Spain, Belgium**.

What makes India a federal country

The Constitution declared India a **Union of States**. Although it did not use the word "federation", the Indian Union is based on federal principles. It provides a **three-fold distribution** of legislative powers through three lists:

List	Who makes laws	Examples
Union List	**Union Government** alone	Subjects of national importance: **defence, foreign affairs, banking, communications and currency**

List	Who makes laws	Examples
State List	**State Governments** alone	Subjects of state and local importance: **police, trade, commerce, agriculture and irrigation**
Concurrent List	**Both** Union and State; if laws conflict, the **Union law prevails**	Common interest: **education, forest, trade unions, marriage, adoption and succession**

Residuary subjects (not in any list, e.g., **computer software**, which came up after the Constitution was made) are with the **Union Government**.

- **Not all states have identical powers**: some states enjoy a special status (e.g., under Article 371, some states in the north-east have special provisions). (Jammu and Kashmir had its own constitution under Article 370 until 2019, when it was reorganised into two Union Territories.)
- **Union Territories** (e.g., **Chandigarh, Lakshadweep**, and the capital **Delhi**) are areas too small to be independent states or could not be merged; they do not have the powers of a state. The Central Government has special powers in running them.
- Changing this power-sharing arrangement is not easy. The Parliament cannot change it on its own. Any change has to be passed by **both Houses of Parliament with at least a two-thirds majority**, and then **ratified by the legislatures of at least half of the total states**.
- The **judiciary** plays an important role in overseeing implementation of constitutional provisions; in disputes about division of powers, the **High Courts and the Supreme Court** decide.
- Both levels can **raise resources by levying taxes**.

How is federalism practised?
Linguistic states and language policy

Linguistic states. The creation of linguistic states was the **first and a major test** for democratic politics in India. Many old states vanished and new states were created in **1947** onward; in **1956**, boundaries of several old states were changed to ensure that people who spoke the same language lived in the same state. Some states were created on the basis of culture, ethnicity or geography (Nagaland, Uttarakhand, Jharkhand). Many national leaders feared it would lead to disintegration, but experience shows that it actually made the country **more united** and made administration easier.

Language policy. The Constitution did **not give the status of national language to any one language**. **Hindi** was identified as the **official language**, but Hindi is the mother tongue of only about **40 per cent** of Indians. Besides Hindi, there are **22 other languages recognised as Scheduled Languages** (in the Eighth Schedule). A candidate in an examination for central government positions may opt to take the exam in any of these languages. States also have their own official languages. According to the Constitution, the use of **English** for official purposes was to stop in **1965**. However, many non-Hindi speaking states (e.g., Tamil Nadu) demanded continuation; the Central Government responded by agreeing to **continue English along with Hindi** for official purposes. Promotion of Hindi continues to be the official policy, but this does not mean imposing Hindi on states where people speak a different language. This flexibility helped India avoid the situation Sri Lanka faced.

Centre-state relations. The way power-sharing works depends on how ruling parties and leaders follow these arrangements. For a long time, the same party ruled both at the centre and in most states, so state governments did not exercise their rights as autonomous federal units. The Central Government often **misused the Constitution to dismiss state governments** controlled by rival parties. After **1990**, there was the rise of **regional political parties** and the beginning of the era of **coalition governments** at the Centre. Since no single party got a clear majority in the Lok Sabha, major national parties had to enter into alliances with regional parties. This led to a new culture of **power-sharing and respect for the autonomy of state governments**. A **Supreme Court**

judgment also made it difficult for the Central Government to dismiss state governments arbitrarily.

Decentralisation in India

DECENTRALISATION

When power is taken away from Central and State governments and given to **local government**, it is called decentralisation. The basic idea: there are a large number of problems and issues best settled at the **local level**, as people have better knowledge of local problems, and local government is the best way to realise the principle of **democratic participation**.

The need was recognised in the Constitution, and there were several attempts (gram panchayats in villages and municipalities in cities), but these were directly under state governments, elections were not held regularly, and they had no powers or resources of their own.

THE 1992 AMENDMENT (73RD AND 74TH AMENDMENTS): STEPS TOWARDS REAL DECENTRALISATION

1. It is now **constitutionally mandatory** to hold **regular elections** to local government bodies.
2. **Seats are reserved** in the elected bodies and the executive heads for **Scheduled Castes, Scheduled Tribes and Other Backward Classes**.
3. At least **one-third of all positions are reserved for women**.
4. An independent institution called the **State Election Commission** has been created in each state to conduct panchayat and municipal elections.
5. **State governments are required to share some powers and revenue** with local government bodies. The nature of sharing varies from state to state.

Structure of rural local government (Panchayati Raj):

- **Gram Panchayat**: each village or group of villages has a gram panchayat, a council of several ward members, often called **panch**, and a president or **sarpanch**. They are directly elected by all adult population living in that ward or village. It is the decision-making body for the entire village.
- **Gram Sabha**: the panchayat works under the overall supervision of the gram sabha. **All voters in the village are its members.** It has to meet at least twice or thrice a year to approve the annual budget of the gram panchayat and review its performance.
- **Panchayat Samiti** (or **Block** or **Mandal**): a few gram panchayats grouped together. Members are elected by all panchayat members in that area.
- **Zila Parishad**: all panchayat samitis or mandals in a district together constitute the zila (district) parishad. Most members are elected; members of the Lok Sabha and MLAs of that district and some officials of other district-level bodies are also members. The **zila parishad chairperson** is the political head.

Urban local government: **municipalities** in towns and **municipal corporations** in big cities, controlled by elected bodies of people's representatives. The **municipal chairperson** is the political head of a municipality; in a municipal corporation, this officer is called the **mayor**.

This new system of local government is the **largest experiment in democracy** conducted anywhere in the world: there are now about 36 lakh elected representatives in panchayats and municipalities. It has deepened democracy and increased women's representation. Difficulties remain: **gram sabhas are not held regularly**, most state governments have **not transferred significant powers** to local governments, nor adequate resources.

GRAM SABHA VS GRAM PANCHAYAT

The **Gram Sabha** is the body of **all voters** of the village; the **Gram Panchayat** is the **elected council** (panch + sarpanch). The panchayat works under the supervision of the gram sabha.

BOARD FAVOURITES

"Key features of federalism" (5 marks), "Coming together vs holding together federations", "Explain the three lists", "How has language policy strengthened Indian federalism?", "Major steps of the 1992 amendment", "Structure of Panchayati Raj". Always give subject examples from each list.

Quick recap

- Federalism: power divided between central authority and constituent units; constitutionally guaranteed.
- Coming together (USA, Switzerland, Australia) vs holding together (India, Spain, Belgium).
- Union, State and Concurrent lists; residuary subjects with the Union.
- Changes need two-thirds of both Houses + ratification by half the states.
- Linguistic states (1956), flexible language policy (Hindi + English, 22 Scheduled languages), coalition era after 1990.
- 1992 amendment: regular elections, reservations, one-third seats for women, State Election Commission, sharing of powers and revenue.

Practice questions

1. Which of these is an example of a "holding together" federation?
   (a) USA (b) Switzerland (c) Australia (d) India
2. "Computer software" falls under which category of subjects?
   (a) State List (b) Concurrent List (c) Residuary subjects (d) Union List
3. Education, forest, marriage and adoption are subjects of the
   (a) Concurrent List (b) Union List (c) State List (d) Residuary list
4. To change the power-sharing arrangement in India, an amendment must be passed by two-thirds majority in both Houses and ratified by
   (a) the President alone (b) the Supreme Court (c) all the states (d) legislatures of at least half of the total states
5. Under the 1992 amendment, the proportion of seats reserved for women in local bodies is at least
   (a) one-fourth (b) one-third (c) one-half (d) two-thirds
6. Who conducts panchayat and municipal elections?
   (a) Election Commission of India (b) District Collector (c) State Election Commission (d) Gram Sabha
7. The political head of a municipal corporation is called the
   (a) sarpanch (b) chairperson of zila parishad (c) mayor (d) block development officer
8. Distinguish between "coming together" and "holding together" federations.
9. Describe the major steps taken through the 1992 constitutional amendment to make the third tier of democracy more effective.

Answers: 1. d 2. c 3. a 4. d 5. b 6. c 7. c 8. see notes 9. see notes